

NY Governor Kathy Hochul on Her One Year Data Center Moratorium

Podcast: Odd lots

AI Executive Summary

Core Thesis The episode explores Governor Kathy Hochul's implementation of a one-scale moratorium on new, large-scale data centers in New York, framing it not as a permanent ban but as a strategic "pause" to establish a regulatory framework for responsible growth. The central argument is that while the state embraces AI and massive industrial investments (like Micron), it must simultaneously manage the "collateral damage" of technological disruption—specifically regarding energy grid stability, the displacement of labor, and the urgent need for housing supply—to ensure that innovation does not come at the expense of public infrastructure or economic equity.

Key Arguments & Data * Data Center Moratorium & Energy

Security: * New York is the first state to implement a formal one-year moratorium on massive data centers to prevent unmanaged strain on the power grid. * A single 15-megawatt data center requires enough electricity to power approximately 50,000 homes, creating direct competition with residential energy needs. * The goal is to move toward a "community investment framework" where companies must either bring their own power sources or pay premiums to contribute to grid resiliency and infrastructure. * **Economic Development & Large-Scale Investment:** *

The Governor highlights the Micron semiconductor project as a primary economic driver, representing \$100 billion in investment and the creation of 10,000 direct and 40,000 indirect jobs. * There is a strategic push to expand nuclear energy capacity, including interest in small modular reactors (SMRs), to power future high-capacity industrial needs. * **AI as a Tool for Governance and Labor Transition:** *

The Governor utilized AI to audit the state's legal code, identifying thousands of antiquated regulations that can be removed to reduce "red tape." * To mitigate AI-driven job displacement (specifically in sectors like paralegal and administrative work), the state has launched a "Future of Work Commission" to focus on AI competency and re-skilling workers. * **Housing and Regulatory Reform:** *

High costs of living and housing shortages are identified as major drivers of political instability/disaffection. * The administration is actively working to reform environmental laws (such as the SEQRA law)

and facilitate office-to-residential conversions to increase housing supply. * **The "New York vs. Sunbelt" Debate:** * While critics argue companies are fleeing to states like Texas or Florida, the Governor points to record-high commercial lease activity and new headquarters (e.g., American Express) as evidence of continued confidence in New York.

Actionable Takeaways * **For Infrastructure Investors & Developers:** Expect more stringent "rules of the road" regarding energy and water usage. Projects that incorporate self-sufficient power solutions or direct contributions to local utility grids will likely face fewer regulatory hurdles in New York and potentially other states following this template. * **For Professionals in AI-Vulnerable Sectors:** Given the legislative focus on "AI competency," individuals in administrative, legal, and transport sectors should prioritize upskilling in AI tools to mitigate the risks of displacement highlighted by the Governor's "Future of Work" initiatives. * **For Real Estate Developers:** Monitor the progress of New York's regulatory reforms regarding office-to-residential conversions and environmental law (SEQRA). The reduction of "red tape" in these areas could unlock significant opportunities in urban residential development. * **For Policy Analysts:** Treat New York's data center moratorium as a primary "test case." The success or failure of this framework will likely serve as the blueprint for how other states manage the tension between rapid AI scaling and resource preservation.

Full Transcript

Get essential news on the people and companies pushing the tech sector to new frontiers. Hi, I'm Ed Ludlow. Join me for Bloomberg Tech, a daily podcast focused exclusively on technology, innovation, and the future of business. Every weekday we bring you the latest insights on Silicon Valley's top companies and conversations with tech's biggest decision makers. Listen to Bloomberg Tech on your commute home and stay ahead of the news cycle. Subscribe today on Apple, Spotify, or anywhere you listen. Hello and welcome to another episode of the Odd Lots podcast. I'm Joe Wiesenthal. And I'm Tracy Allaway. So, Tracy, big news in New York state today. We know there's been a lot of AI politics, a lot of data center backlash. I wasn't really expecting it, but...

New York state becoming the first state to institute a formal data center moratorium, at least for one year. Yeah. So this is really interesting. Governor Kathy Hochel just announced this, and it comes hot on the heels of there was another attempt in Maine to do something similar, but that ultimately got vetoed by the governor there. So it's really interesting that New York is, I guess, like stepping up and maybe trying to create a template for other states to do this. Yeah. And it's interesting because like the one question is, does this become a ban, right? Because we know there are a lot of people that would just like to see like anti data center politics is very popular. On the other hand, you know, it's interesting. I saw a story.

I saw a headline recently, you know, in some states they're still tax breaks, like they're trying to invite data center companies. New York still has tax breaks too. And so yeah, and it's so it's interesting because we see all these stories about like, oh, there's a compute scarcity, et cetera. And yet evidently, there's still this competition. But basically data center politics are like really in flux. Absolutely. Also one of the rare. Areas of bipartisan agreement. I know it seems um if you're in the AI industry you have to be kind of concerned that like There doesn't seem like they have any friends. Everyone hates you Yeah, I mean the ratings are negative But anyway, of course data center politics gets into so many other things You know the anxiety about job loss energy energy policy Water policy etc and it's sort of

this litmus test I guess because like No one knows what their AI is going to be good or not. Will this be a great thing for the world or will this disrupt the world in ways that we can't possibly fathom? But also, if you agree that AI is going to be important in some way in the future, then- it seems reasonable to want to design like some sort of framework for how data centers should actually get built out. I imagine different states, different cities, different municipalities will have different ideas for exactly how to do that. But it's interesting to see people start to grapple with those requirements. So, you know, do you have to have a closed loop system for water? Does the company have your own power? Right. Exactly. Like what are these requirements? What's the optimal data center going to look like in the future?

Totally. Well, there are a lot of big questions that this touches on big, like just sort of in the macro sense, like, what are we building? What is the government's attitude towards building things, period? And I'm very excited to say we literally have the perfect guest. Governor Hockel, thank you so much for coming on off lots. Delighted to join both of you. All right, so the big news came out this morning, a one-year moratorium on a big new data centers in New York State. Why now? What is, what was the catalyst for this particular decision today? Well, there's been a really, what I call flood the zone. There's been a lot of companies that may have been contemplating putting in plans for data centers, massive data centers around the country, but all of a sudden it seemed like there's been a surge. And I have to respond to that.

My main challenge is in the state of New York, making sure we keep the lights on and making sure that people can afford to keep the lights on. And so the challenges that I have to deal with in this environment where everything we want to do for clean energy, renewable energy or my all the above approach are under attack from Washington. So I have to make sure I'm managing our resources. So when you have a huge company that wants to come in, even on the somewhat smaller side, 15 megawatts of power required, that's 50,000 homes. that all of a sudden are competing with that consumption of energy. So on that front it was important to me, but also I've been studying this around the country. A lot of communities are getting, deriving substantial benefits from these companies and they're willing to

pay for it. But I realize I used to represent a very rural area of upstate New York and Congress. These communities do not have this sophistication. They don't have the planning staff, the staff that would know to say, you know, we wanted you to You give, you know, 1 million per megawatt. We want you to make sure that you're investing in the grid, all these other things that could be doing, but they're not being asked. And I think the companies are willing to do that. So I want to make sure that we take the time to have a community investment framework to give to localities. But also, you have to be able to power yourselves. You want to come in. I said this in my state of the state, back in January, I launched the Public Service Commission to start this process. They'll be done within this year of the moratorium.

so we can have certainty for businesses, but you bring your own power source or you have to pay a premium to use our grid. And those are the basic foundations of what we're doing with this moratorium. It is not a ban. It is simply saying, step back, take a breath, and get it right. Businesses want that knowledge of what the rules of the road are. We've actually had some interesting tweets from the builders of these facilities who are now saying, hey, just tell us the rules. Tell us the regulations. We're okay with that. And that's exactly what we're doing, but also responds to a lot of frustration from these communities, from people who don't think that they're paying their fair share or that they're just coming in and just start forcing themselves in. And that's really annoying to people. It's just they've had enough. Americans have had enough. So this is the U.S.'s first statewide moratorium on data centers, which means inevitably this is going to be seen as a test case or an experiment. When you think about this, what exactly is it you're trying to, I guess, prove or disprove or achieve? Like what are you looking for here? What should the outcome of the moratorium actually be? Very specific goals.

My public service commission will take this year to devise a plan where we figure out how to make sure that they bring their own power or that they're substantially contributing to the grid. Secondly, I want them to contribute. This takes time for government to get this right. I'm establishing a larger grid resiliency fund, I want them to make major contributions so I can invest in the energy grid, the transmission lines and everything else that has

been ignored for so long. That's one of the reasons why our energy infrastructure is crippled, the investments were not made. So you're going to contribute to the locality, you're going to contribute to... bring your own power and also this larger dynamic. So that's what we're looking for. Those are very specific. I have agencies all working on them now, about seven or eight agencies dedicated to this. I'll put the person power behind this. And we will be a template for doing it right. Right. We know in some instances, I think I've seen headlines like in Louisiana, for example, the big meta campus, not campus data center. It's like, there's going to be, you know, payments to teachers in the area.

the idea I suppose is, okay, any place that's open for data center business, let's make sure that we get these, you know, the same, the same agreements that are being put in place elsewhere to benefit the community. How should we like, moratoria can become bands, right? Something is like, we're going to put this in place for one year, and then it's two years, we're still working out the rules of the road, that is five years, and then you never have them. What sort of like, are you actively trying to avoid this becoming a ban? I'm not expecting the need for a ban. I want them to work with us. No, I understand how important AI is. We are in a revolution. The winds of change are coming in at Hurricane Force. And it's disruptive, but it'll also be very positive. And I'll tell you my commitment to AI goes back years when I launched the first in the nation development of a supercomputer. The largest outside any private company is being built in New York for public good. What does that mean? All of our universities can tap into power, computing power that is unavailable to them otherwise. We are innovating new therapies in cancer, working on it right now up in Buffalo. We are also trying to solve some of society's other problems and even weather forecasting. I mean, you would not believe the disasters I had to deal with as governor, you know, heat waves, blizzards, floods, storms. And so, There's all kinds of positive ways we can use AI. And I'll tell you what I just launched, and I'm very excited about this. I'm using AI to analyze every single rule, regulation, policy, see whether it's antiquated, outdated, too many fees.

We just finished this. It would have probably taken five years at the staff level, did it in a couple of months, and I have over 4,000 recommendations

from the public who want us to look into things. Plus, I have all my agencies now using this list that they were given, okay, get rid of these regulations. So I understand. So you find like wacky old school stuff about like horses allowed on the streets and things? Yeah, all kind, like everything has to be sent in many rules under by telegram or... facility it's on the books a lot of people have been in violation yeah yeah and uh you know even i think there's you know pregnant pregnant women have to have a special permit to be able to work after midnight um no there's you know that fees that you have to pay 25 dollars to bring your dog hunting in the state like inane things we literally and these were things that you like basically put the new york city the new york state legal code base and the ai had said find the crazy stuff dump it in And my team was like, you sure? And I said, no, we're going to do this. I want to rethink government. I want a government that's not on your back, but on your side. And using AI has been powerful to do that. And I think every level of government should use this. So this is going to go on for a little while, but I'm going to make dramatic changes.

using the Power BI. So my point is we are open to this innovation. It's what defines New York, which why we're so spectacular, why so many tech companies are leasing space at record levels coming to New York, why recent college grads, this is their number one destination. So I want to capitalize on that. When I talk about those college grads, I also have to mention something else. AI and the uncertainty around this is causing enormous anxiety, because young people don't know where they fit in the future with AI. Will they lose their job? Will they be displaced? Well, the skills that they thought were so important are now irrelevant. So last week, I had launched this a few months ago, we had our first meeting with really substantial business leaders, leaders in tech, people from academia, labor, gathered them together.

along with my team and I said, we are now called the Future of Works Commission. We are studying the positive benefits of AI, what we need to do to make sure that our students are AI competent so they can take the jobs, but also how we deal with the disruptive forces. The forces that drove, I'm from Buffalo, drove everybody I knew out of a job when Bethlehem Steel left and, you know, automation replaced jobs in our factories. So I saw that happen as a young girl and as a child. I also want to make sure that

we're ready for it this time. So I'm trying to deal with that anxiety that people are feeling, trying to deal with our energy demand, making sure that decisions are responsible. And we'll get through this, but we embrace AI in this state.

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podcast. So given that you recognize the importance of AI and you do want data centers in the state in the right way, but that's inevitably going to require additional rules. Maybe it'll make the data centers more expensive. And ultimately, New York is competing against other states when it comes to attracting these projects. How do you actually, you know, how do you encourage data centers to come in with additional restrictions once this moratorium is over? They'll be up to them. It's also up to the localities. I mean, they should not go anywhere. They're not welcome. I spent 14 years in local government and I believe that the localities should be the deciders whether they want this. But let me tell you the larger picture, whether they come here or not is up to them. What I'm spending my energy on is focusing on the large massive producers of the elements for this to support AI. What am I talking about? Semiconductors. Just last week, less than a week ago, I was with the CEO of Micron, who I was one of my proudest accomplishments was landing Micron to come to New York, not another state where they're looking seriously, 100 billion of investment, largest private sector investment in American history. They'll be creating 10,000 direct and 40,000 indirect jobs. Now I will say, I will work with you to get the power you need. And I've structured arrangements with the New York Power Authority. And they're also helping me with my effort to bring more nuclear to New York. We're waiting for the Trump administration to hopefully greenlight us.

on my massive expansion of nuclear that I want to do, I want to build more nuclear in New York than the entire country has in 30 years. That's how ambitious I am about powering our future of innovation. But if I have to choose between powering a largely vacant data center with the same amount of power, I can have a micron with thousands of jobs, I can tell you right now where I'm going. So they can come under the conditions we lay out, but I'm also going to be investing a lot of my energy on the good paying jobs will be there for the long term. When we talk about AI labor market disruption, like everyone's anxious about this right now all across the economy, and we're like waiting, right? Like we don't really know what's going to happen to work. However, there's one area with AI specifically where we know that there's where we can already see the rubber hitting the road quite literally, and that is in driverless cars, which is AI. And we know that Waymo had a trial here in New York State, and then New York put a pause on it. And of course, there's going to be human drivers interrupted. Can you tell us about why Waymo couldn't move forward, and what that says about your office's framework for managing this disruption?

I will say, I'm very much in Waymo. I've been in the vehicles. They're amazing, right? They're fun. Yeah, they're fun. But this is where I want to get ahead of this. Before we have these disruptive effects, what is the alternative for the people who now are the ones we're counting on to drive us in person? You have to have a plan B. This is what we did not have with the industrial revolution and all these other, the automation revolution. That's why so many people We're so discouraged when they lost their jobs, whether it's overseas or as I said, automation, because government didn't step in and work with the industry and prepare people for this. That's what I'm trying to do. The people that are currently driving vehicles, are they able to get some basic AI competency program that we put forward? They might get a job that pays even more. Let's make there be a positive impact to this. So that's the strategy I'm using.

What is the alternative for people? How do we manage this? How can we get this to all work out? And so I just want to be thoughtful about it. Again, coming from the world I come from, where my hometown was basically a ghost town when all the businesses left, going out of business, last one here

turned out to lights, that's the world I grew up in. And I'm so hardwired to protect the people of this state and these young people. And I gathered 10 of them in my office the other day. I invited people who had lost their jobs. Literally the boss had said, You're losing your job because of AI. Now, some of them had been studying computer science, coding. They did everything we told them to do their entire lives. Like, go into, I can't tell you about your young people. I've said, go into STEM. You'll have a job forever. And those people, and especially women, are in the jobs that are most vulnerable. I cannot have this disruption without saying we did everything we could to mitigate it.

But just going back to the Waymo thing, for example, because I do think it's instructive about what's going to come for a lot of different industries, like the number of people who would theoretically be a passenger in any car is far larger than the number of people who drive cars professionally and you mentioned the industrial revolution center and extraordinarily wrenching but most people say we came out on the other side as a richer more advanced society and so like i'm curious like you know how do you balance the interests of. all the people who aren't drivers that would like a clean ride, that would like a safe ride, that would like a modern ride, a ride that potentially could reduce congestion, which I know is a thing you care about. And historically, it's like, there are costs, but then you come out on the other side better. Here's our laptop. How do we get over that? You're absolutely right.

But you're looking at the societal costs as being greater at the end. I'm looking at the collateral damage of the people before it gets there. I'm the first governor to say, I grew up in a world where no one cared about the people and the displacement and why a lot of people had to leave the state because their jobs were gone, lost a foreign company, lost automation. I'm just trying to fight to not let that happen. I have to help them reimagine life without the current job they have, whether it's the people that are driving vehicles or whether it's the young students who did everything we asked them to do. They got a good degree, they went to college, they're trying to build a life and now they're told, well, we don't need any more paralegals anymore, we don't need people to do back office, we don't need administrative jobs, you're gone. I can't let that happen without saying, but

here's how we can get you a better future. Here's how I can put you on a path so then we can try to dial back some of this anxiety and fear of AI because I can't have companies be successful, but leave, they can be successful, but leave everybody else behind. That's not how we do things in New York. We lift everybody up. Should tech companies have to contribute directly to, I guess, managing the labor market disruption, so for instance, paying higher taxes to fund re-skilling programs or things like that? They should be involved.

hostility toward raising taxes in New York. I've shown that I'm going to stand firm because I happen to embrace people that are successful in business here in New York because they're the ones who are creating the jobs. The other ones who are already driving the tax revenues that allow us to have universal child care and invest more in housing and to deal with this energy challenge we're facing. So I want to make sure that we're smart on that front. So there's a lot of ways to look at it and I have to make sure that Again, New York has always looked at it as a leader. I'm very cognizant of the fact that what I do will have a ripple effect. But that's why everything we do is so thoughtful. I did not wake up one day and say, we should do this. I talked to industry experts. Can you manage this? Are you going to be able to get through this? And what they're telling me is just tell us the rules. So technology companies have a role to play. And if they want to be supportive of the entire workforce, help us retrain people. Let me tell us a dimension micron before.

Micron, when I was trying to recruit them, said they needed 9,000 engineers and tens of thousands of people in the construction trades. And I said, I'll get that done for you, I promise. So when I'm working with Micron and our teachers' unions, we've now changed the curriculum in the nine counties surrounding Micron to teach them basic skills that they would use if they were hired by Micron. Now this is like a 30-year proposition. You know, kids in kindergarten, may not take a job there to look 25 or 30. This is what industry can do to make us more competitive internationally. But I don't have to tax them to do it. You should be part of a consortium with me. And I also said this this morning. The companies that innovated this revolution, which is changing how we communicate, how we work, how we think, how

we live, AI revolution have to have the capacity to be able to help us figure out the reasons why we have to have this moratorium.

your expertise, your talent, AI, use AI to help us figure out how to deal with less energy consumption, less water consumption, the less noise disruption. Why can't you solve for that and the whole dynamical change around this? So I'm challenging them to do that. I'm Matt Miller and I'm Hannah Elliott inviting you to join us for the Bloomberg Hot Pursuit podcast. Every week we bring you news and industry insight on everything cars. And we do a whole lot more than just talk about cars, Matt. We actually get behind the wheel of basically every latest model, especially the luxury ones on the sports cars direct from the showroom floor. It really is remarkable how many cars we have access to. I feel a little bit guilty about it, but everything from

40,000 EVs to exotic half-million-dollar supercars. We also speak with the insiders who shape the automotive industry from the top CEOs and collectors to visionary designers and racing champions. Search for Bloomberg Hot Pursuit on YouTube, Apple Spotify, or wherever you get your podcasts. Maybe you listen while you're on your weekend drive, maybe go into cars and coffee. Listen to us talk about what we are driving this week. That's Bloomberg Hot Pursuit. I'm Matt Miller in New York. And I'm Hannah Elliott in Angeles subscribe today wherever you get your podcasts. We recently had a pretty awful heat wave in New York and one of the sort of I think depressing things about you know New York and the modern era is that when the temperature spiked we actually had to like turn on some of this sort of like spare like fossil fuel like oil-generated plants etc. I know you talked about like this could be one area in which you actually do have alignment with the administration in DC, why isn't restarting Indian Point, which the owner of that facility says it's still technically doable, part of the nuclear roadmap? It has been decommissioned. They say it's technically still doable. Okay, because they've already been removing all the radioactive materials.

I don't know, are they bringing them back? I would say this. This happened before my time. One of the biggest mistakes in the state's history was shutting down Indian Point, which powered 20 to 25% of New York City's

power without a plan B. If you're truly concerned that there's been degradation of the facilities and there's safety issues or whatever the reasons were back before my time, if that's real, just wait until you have an alternative. And it was, so, yes. It's obvious now that we say it now. Well, this is so frustrating for me because what I have done though in the meantime, as soon as I became governor within weeks, I authorized the building of a transmission line hydroelectric power from Quebec, the Chippy project, the longest underwater transmission in the country. And I knew that if I could bring in an alternative source, we could replace Indian Point somewhat. But guess what? While I'm doing this, we have a pandemic.

supply chain disruption, tariffs, war with Canada, which supplies a lot of our minerals and materials. And then I have a war on offshore wind, which I'm fighting to keep a facility that'll power half a million homes in Brooklyn. Now, we should be ready to launch with that in the fall. Offshore wind is a great alternative for us. So I'm trying to find all these. I also authorize a pipeline, a natural gas pipeline to go through from Pennsylvania to Long Island. So I really am all the above. all the above. And so I don't think there's an appetite for the communities involved to do any point again. But I have eight communities upstate. They're begging for it. I have locations. I have existing facilities. I have four nuclear reactors that have been working successfully since 1960s. The communities love them. They're good paying jobs. That's where I want to be able to do this. And so I have a plan. I just need Department of Energy to authorize approval of a plan that they would help us get a long-term low-interest loan to fund this. And I'm all on board. I've talked to the president about this. I've talked to the secretary of energy about this, the energy dominance, whatever they call it, commission. I just sat in my office the other day, but I want this done because it's also, I'd say this is the president, one of my first meetings. Nuclear often supposedly takes 10 years for approvals. Seven of those years are at the federal level.

said, you work on cutting yours. Don't compromise safety. And I'll work on streamlining mine. We can get this done in a couple of years. Plus, where's the marketplace? Where's the commercialization of the small modular reactor? I was about to ask, you're looking at those as well, right? We are.

We're going big. I'm building enormous facilities, high capacity. I also believe when I'm talking about data centers or the next micrometer, show up with your own small modular reactor capability, and I'll find the space for you. We have a lot of water upstate. lot of fresh water. We have a lot of land, but it has to be the highest and best use of those properties, not just using hundreds of acres for a couple of jobs. I think we can do better than that. I know we can, and I'm interested in driving that to happen.

Since you brought up Trump and the administration, I understand you're probably more aligned on something like nuclear or maybe less aligned on something like wind. What are your conversations actually like with Trump at the moment? And have you had to, I guess, figure out the trade-off between the fights that you're willing to fight with the administration and the things that maybe you'll leave alone? I'm very good at managing relationships, whether it's with... New mayors, presidents, that's my job. My job as the governor of New York is to make it all work out. And I think being even the first mom governor, first woman governor, I have unique experiences that allow me to deal with sort of warring factions all the time. And so my job is to dial down the temperature and not create drama, just get results. And that's been my focus for five years. So when I have conversations, I often strive for common ground.

Let's get Penn Station done together, Mr. President. We can do this. I know you need New York State. New York State does have video power. But I want this done too, so I think we can get there. But I also want nuclear. And you have the power to say yes or no to nuclear. So let's talk about all these opportunities. So it's more aligned with that. Now, I will say, I have called up and said, one time I called up and said, I'm heading to the Gateway Tunnel area. You just suspended this work for months. I'll be seeing a thousand unemployed individuals who thought they had long-term jobs, creating six to 10,000 jobs. What would you like me to tell them when I arrive tomorrow? Because they're real unhappy. They supported you and they're unemployed. Two days later, the approvals were back in place and they're back to work. And so just having conversation, helping point out the impacts of decisions, you know, sometimes can be helpful.

But as you know, I'll always stand up and defend our values. I mean, what I think is happening with ICE is abhorrent. I have called that out. What I think is happening with all the health care cuts that are destabilizing health care, even in the rural Republican areas of New York, like at least the phonics district, it's not a good political story. I once said, I said, this is not good politics for you. You're going to lose in Republican areas because of these tariffs and inflation and all these costs of living going up. They're interesting conversations. I think it's always good to have the door open, line of communication, but always will stand up for New York values. JPMorgan expanding in Texas lately, Citadel expanding in Florida. Do you have like a main theory of why we see this finance expansion out of New York? And would you say one of your goals would be to grow New York's market share in terms of the finance industry or the share of jobs that we have in this space? Of course it is. And why do we see this expansion?

They often, the CEOs often call me and they'll say, you know, I just want, you know, governor, this is not a new headquarters. We're still here. We're actually, then they say we're expanding here. I just took on, I'm leasing more. I cannot get over the number of leases for commercial space that have been let in the last three, four months. It is extraordinary. No one could have foreseen this. People remember this a few years ago after the pandemic, during the pandemic. I first became governor during the middle of the pandemic. People said real estate in New York City is dead. Turn out the lights. It is dead. It is on fire. So whether it's tech businesses, financial services, just did a groundbreaking for American Express' brand new headquarters, finishing off the World Trade Center site. That is a statement of confidence. I spoke with the CEO yesterday and thanked him for that. I said, I appreciate your, he says, we're not going anywhere. There's only one New York. That is what I'm hearing from businesses. What do you want to expand?

in another location where your customers are. That's what I'm hearing. We want to go closer to customers. I get it. But this is home. This is our identity and I will protect that identity because to me, after we lost so much industry and the manufacturing and the ports and all the other drivers of commerce in New York, we had to reinvent ourselves. I spoke about this this morning at the Domino Sugar Facility where I announced the moratorium, but we

always reinvent ourselves for the better. And that's what we did with financial services. We'll always be the epicenter of financial services. And they'll know that they have someone in me who's going to make sure that you understand the regulations. You know the rules of the road, and that's all these businesses ask for. I'm going to do a complete 180 from financial services to democratic socialists. But we had Zoran Mamdani on this podcast before. And since then, it seems like the democratic socialists have racked up a number of wins.

What do you think is going on here? What is the appeal of that particular message and how much of it do you yourself share? It is extreme frustration with the cost of everything going up, the knowledge that no matter how hard you work and you play by the rules, you'll never be able to have what your parents and grandparents had, which is the possibility of owning your own home. To hear the statistic a few months ago that the average age of a first time home buyer, if you're lucky enough to have a home at all, went from 30 to 40 in just a few years. Look how long that milestone that everybody else count on before this generation, how long it's going to take. To me, that hurts people. And I'm a mother of young people. And I see the struggles they have, whether it's with childcare, something I used to work for as an attorney for Senator Moynihan. I had to give up that job because there was no childcare a generation ago.

Those babies are now struggling to find child care themselves. So is it just a frustration, anger toward Washington because they were promised our inflation was going down day one? No more forever wars. All these promises that were broken and ICE enforcement only for the baddest of the bad, the worst of the worst, I think they're just feeling so disaffected that they're angry at everything right now and who can blame them? And again, we talked about AI. I'm doing all this and I'm going to lose my job to AI. So we just have to let them know we hear them. Number one, your message has been delivered. We get it. We also share the concerns and know that there's people like myself out there saying, I'm going to do a billion dollar energy rebate to help pay utility bills. I'm changing all the red tape that is holding back the building of housing because the reason you cannot afford your rent or own a home is because we didn't have the ambition.

to build more housing. We got hung up with laws like seeker laws, a 1975 environmental law which had its place at the time. At a time when I lived near Lake Erie, the pollution was rampant and people weren't protecting the environment and industries were irresponsible. Smoke stacks everywhere. Sky was orange. I thought the sky was supposed to be orange when I was a kid. So I come out of that world. But fast forward to the world where they just feel like no one's paying attention to them. And when we start ignoring these cries for help, you get a change. You get people's system manning change. So here's what I want to do. Change the policies, build more housing. The Seeker Law outlived its usefulness. I just got that through the legislature. And people said it was called dead on arrival.

even the last couple days of session until the budget was done, and I said, I'm not leaving town until I get this. I'm very aggressive when I have my priorities to drive down costs in New York with its auto insurance. I took on the trial lawyers, won on that front. So the larger answer to your question is I'm focused on all these areas to drive down the cost of living, housing being probably the top of the list. But also, let's harness that energy. In my whole life, we've been asking young people to show up and vote in higher numbers. And I was a little kid during the Vietnam War when people said, why did it be 21 to be able to vote? These young people are dying and shedding blood on battlefields far, far away. And they can't even vote for the leaders who sent them there. So when it changed to 18, we thought there'd be a revolution at the time of young people just so engaged. And it took until now. And I think it's just the enormous pressure with Washington, their lives feeling frustrated and being denied the American dream. And leaders like myself, are doing everything we can to change that dynamic. We have to. I'd love to have you back sometime just to talk three hours about housing because it does feel like the urre issue that Anu could explain expansion into other cities by these big companies, etc. There's a million angles on housing. One specific thing, think about young people, is one specific thing in the housing is from everything I understand, property taxes on a lot of multifamily buildings end up being higher implicitly than single family owner occupied homes. And so it's like, if you really want to build housing at scale and you need to fund government, you need to have property taxes, we are sort of like penalizing the lever that could expand sort of units the most. Should we revisit the core property tax system in

New York so that we don't put such a favorable rate on the sort of traditional single family occupancy? I think it's more indicative of what's going on here in New York City. Statewide property taxes have been too high, but there's not a disparity in that treatment that you're describing. So that is something that the city council would have to deal with specifically. But the larger question is, I just go back to supply. I think that we just...

you look across the New Jersey, you can see the houses they built on their waterfront, and we did not. And the Nivism, not just from communities out in Long Island or in Westchester, some of them, it is right here in the city. And the opposition I heard from so many city council members who you'd consider very left, very progressive, who was like, no. We don't want that. We don't want to have office conversions. This was a big deal. I wanted to be able to convert empty office space into housing, especially during the pandemic when we had a lot of empty office space, even raising the height requirements for buildings and doing more expansive thinking. I ran into so many roadblocks. I had a project that was going to be home ownership for 900 people.

for low-income individuals to be able to own their own home in one part of this great city. And the legislators said, no, we don't want people like that coming in, in this progressive city. So that's what I'm up against. And I'm still trying to break it all down. I'm just trying to fight back because the collateral damage is the people who just want to be here so desperately. The young people came here with that dream of you can make it in New York. The best city in the world. It still is, always will be, always, full stop. They get tired of living with five other people in a small apartment. At some point, they want to expand out. They want to have their own family. And that is exactly what we have to do. I'm listening to those people. I'm breaking down barriers. I'd love to come back because I have a huge platform on housing. What I've done already, what I have to do next. And it's a huge task. That and energy keep me up at night. But I'm going to deal with both, dealing with both now.

All right, Governor Hockel, thank you so much for coming on OddLots. We'll immediately start coordinating with your people about our three hour housing. And I would actually enjoy that. I hope you enjoyed this, too. We

would definitely enjoy that. Thank you so much for coming on OddLots. Thanks for having me. Well, there was a lot of fun talking to the governor. Yeah. I'm looking forward to a three hour version of the conversation. Yeah, I think we should do it. Absolutely. No, that was fascinating. Look, like whatever you think about the specific move, it seems like it could be the first of many, right? Totally. Well, yeah, it definitely seems like it could be the first of many. I think there are two ways to look at it. I mean, I think you could say,

That's New York State saying no to something again, right? New York, you know, the perception, including many people in New York, but I think it's like, oh, it's a bad place to, it's a bad place to build. It's a bad place to start a business. You want to go to the Sunbelt, etc. So there's the one view. It's like, this is just another in a long line of things where like, the New York is not, you know, embracing the future, embracing economic activity or embracing business. The other possibility is that Data centers could actually be very good if they could incentivize, you know companies to add to the grid We've had episodes in theory. They can reduce rate payer costs because this is yet another company to bring down the cost of that capital expenditure gets distributed Etc. So the question is like could in one year something that on the surface like oh, this could become a ban if it just is how government works or In this year, could they find a model where data centers are clearly something that, if you get the economics right, a community wants to embrace? Yeah, absolutely. And I think that's what the one-year moratorium is trying to figure out, right? The other thing I thought was really interesting, this is slightly off topic, but just the using AI to dig through for old...

defunct laws, I guess that no one actually pays attention to anymore. It's kind of crazy. Yeah, just drop the entire code base in and say, find the dumb stuff. Like that is actually, and then you're like, of course, have the human confirm it. But that actually strikes me as one of those things that AI really is good at. Prior to that, I doubt the product was literally find the dumb stuff, but that is actually what AI is good at. It could have been. Find the dumb stuff, and then it's like, okay, here's 5,000 things, and then you review those rather than reviewing millions and millions of pages. I do think the

Waymo thing is very instructive as a thing to watch, because here is an exact, Waymo is AI, right? Yep.

And right now, the impulses, I get why politicians have the impulse, a lot of people have the impulse. It's like, we have to, you know, make sure that the displaced have an opportunity to go. But on the other hand, most people aren't drivers. I think a lot of people like the I think there's the evidence seems pretty strong that driverless cars are in fact very safe. We know that road safety and congestion are also very big deals. We didn't even get into the congestion tax, but these are like big things. So it's like, you know, at what point how does the government make unpopular decisions that it's like, okay, there are clear benefits here, but they are going to fall disproportionately on one small group. This is the comes up over and over again. This is the Jones Act phenomenon, which is like how many people have Jones Act jobs and how many people like it's immovable. And so I do think like how this resolves, if ever, is kind of like an instructive early warning about like how AI politics will actually go down. All right, shall we leave it there? Let's leave it there.

This has been another episode of the OddLots podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wiesensthal. You can follow me at the stalwart. Follow our guest, Kathy Hockel. She's at Kathy Hockel. Follow our producers, Carmen Rodriguez, at Kerman Armand. Dash O'Bennett at DashBot. Kale Brooks at Kale Brooks. And Kevin Lozano at Kevin Lloyd Lozano. And for more OddLots content, go to [bloomberg.com slash OddLots](https://www.bloomberg.com/oddlots), where we have a daily newsletter and all of our episodes. And you can chat about all of these topics 24-7 in our Discord. [Discord.gg slash OddLots](https://discord.gg/oddlots). And if you enjoy OddLots, if you want us to do a three hour deep dive on housing policy with Kathy Hockel, then please leave us a positive review on your favorite podcast platform. And remember, if you are a Bloomberg subscriber, you can listen to all of our episodes absolutely ad free. All you need to do is find the Bloomberg channel on Apple podcasts and follow the instructions there. Thanks for listening. Follow the money in the world of sports every week on the Bloomberg Business of Sports podcast.

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